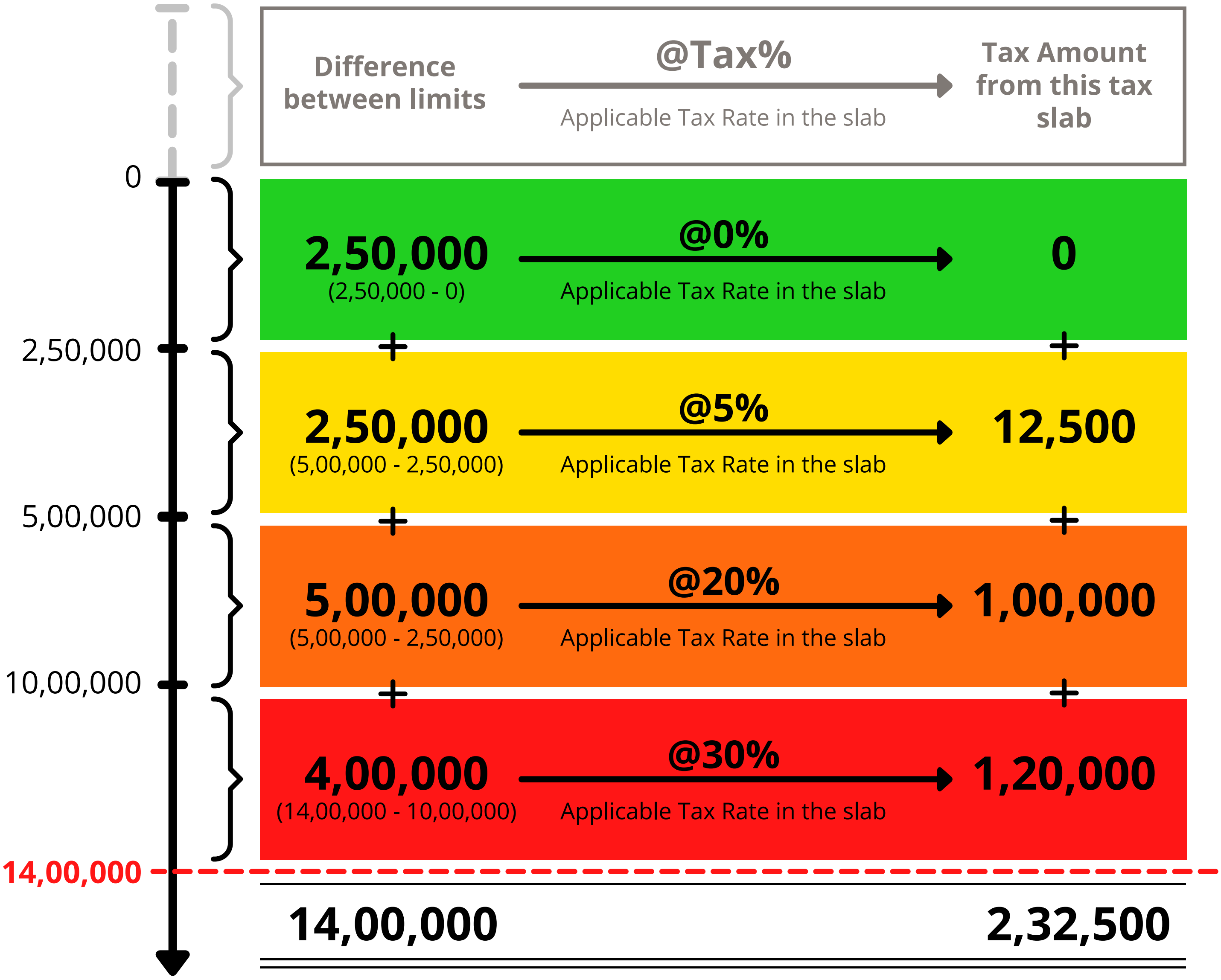

Let us take another example. Let us assume that your taxable income is INR 14 Lacs. With a flat taxation system, you will fall in the 4th slab and you would have to pay 30% on the entire INR 14 Lac which comes out to be INR 4.2 Lacs.

However,under the progressive tax system, on the first Rs. 2.5 lac, we pay tax at 0%; on the second Rs. 2.5 lac, we pay tax at 5% i.e. Rs. 12,500; on the next Rs. 5 lac, we pay tax at 20% i.e. Rs. 1 lac; and finally on the last Rs. 4 lac we pay tax at 30% i.e. Rs. 1.2 lac. So now, the total tax comes out to be (2,50,000 × 0%) + (2,50,000 × 5%) + (5,00,000 × 20%) + (4,00,000 × 30%) = 0 + 12,500 + 1,00,000 + 1,20,000 = 2,32,500. Notice the difference between Rs. 4.2 lac and Rs. 2.3 lacs. Add cess after this.

Also, those with taxable income above a certain limit, have to pay additional surcharge and cess as shown above. This is how your income taxes are calculated based on what slab you fall into. The rates in the table are as per the older regime and focus shall be on taxable income and not earned income.